public expenditure:

Developing
- social-economic dev.
- social justice

Developed
- Δ AD.
- economic stability.

"developed"

*↑AD = C + I + G↑

↑G → AD↑ → Y↑ → C↑
Y↑ ← AD↑ ← Y↑ ← AD↑

"multiplier effect"

1-✓ 2-X 3-✓ 4-✓ 5-✓ 6-X 7-✓ 8-✓ 9-✓ 10-X 11-X 12-X
13-X 14-X 15-X 16-X 17-X 18-X 19-✓ 20-X

MCQ

3-e 4-d 5-a 6-b 8-d 9-b 10-c 11-a

*Benefit criteria
- Common
- special

*revenue criteria
- without → grants.
- with indirect → education, health, subsidy.
- with → wages, build, roads

*Function
- protective → defence, Covid19, debt. ---
- developmental → education, health
- recurrent → wages, interest, subsidy.

*Priority criteria
- primary → debt, defence
- sec

# Effects of public expenditure:

* Gov. current (consumption) exp.
* Gov. capital (productive) exp.
* transfer payment.

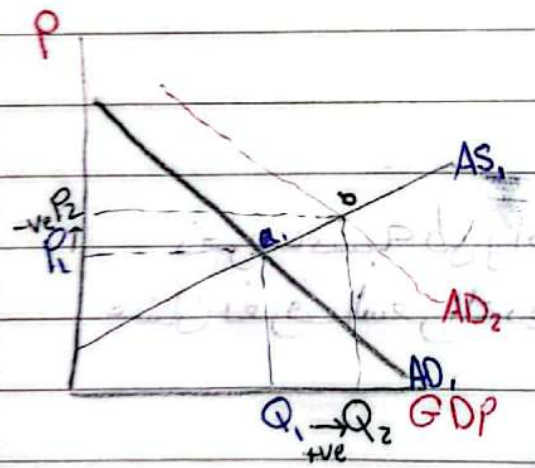
$$\uparrow AD = C + I + G \uparrow$$

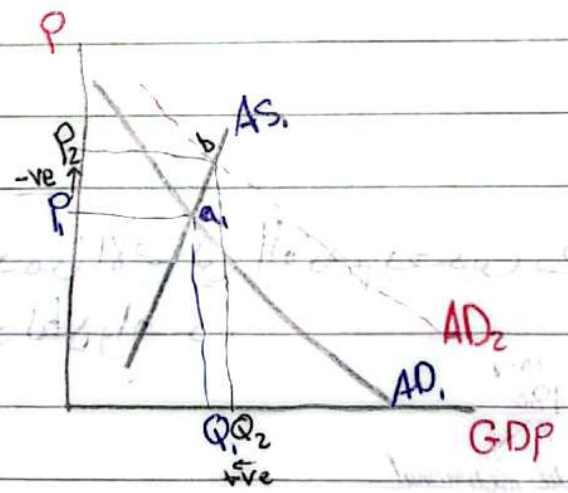
① Government current expenditure.

(wage ↑)

AS elastic — G↑, AD↑ — AS inelastic

(developed country) — (developing country)

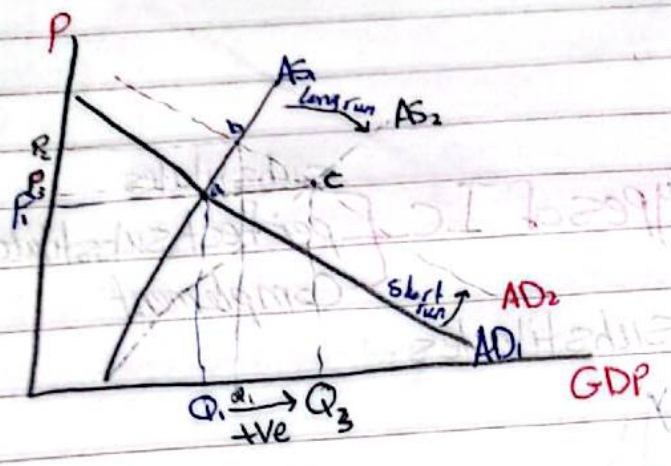



inflatiove

+ve effect > -ve effect

increasing Gov current exp plays role as exp. fiscal policy.

+ve effect < -ve effec

② Capital Gov expenditure
education, health care ↑ G↑ AD↑